QUARTERLY INVESTOR REPORT

Kestrel Logistics Center | Kansas City, MO

Investment	Kestrel Logistics Center
Quarter	4Q 2025
Report Date	September 14, 2021
Sponsor	Vireo Income Properties
Occupancy	94.0%

Risk Considerations

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. The building offers 2' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. The facility is located 7 miles from the interstate with access to a regional intermodal terminal. Distributions to investors for the quarter were paid at an annualized rate of 5.4% on contributed capital.

Leasing and Marketing

The facility is located 6 miles from the interstate with access to a regional intermodal terminal. Collections for the period were 96.7% of billed charges, with bad debt of 5.6% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 12 additional team members. The building offers 25' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 19th business day. The facility is located 3 miles from the interstate with access to a regional intermodal terminal. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

Business Plan Progress

The facility is located 9 miles from the interstate with access to a regional intermodal terminal. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 4.7% on contributed capital.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 7.0% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The building offers 11' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Management Commentary

In-place rents average $7 per square foot triple net with 3% annual escalations. Collections for the period were 92.6% of billed charges, with bad debt of 7.8% of gross potential income. The facility is located 8 miles from the interstate with access to a regional intermodal terminal. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

The facility is located 4 miles from the interstate with access to a regional intermodal terminal. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 38 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building offers 27' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

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Investment Overview

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The building offers 10' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. In-place rents average $7 per square foot triple net with 3% annual escalations. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Distributions to investors for the quarter were paid at an annualized rate of 6.0% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The building offers 31' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Property Operations

The building offers 41' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 30 hours. The facility is located 8 miles from the interstate with access to a regional intermodal terminal. Collections for the period were 89.3% of billed charges, with bad debt of 5.0% of gross potential income.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 23 hours. Collections for the period were 88.8% of billed charges, with bad debt of 4.6% of gross potential income. In-place rents average $7 per square foot triple net with 3% annual escalations. The building offers 21' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 17 additional team members.

Risk Considerations

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. In-place rents average $7 per square foot triple net with 3% annual escalations. Projected levered IRR is 7.1% with an equity multiple of 1.20x over the hold period. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns.

Distributions to investors for the quarter were paid at an annualized rate of 3.8% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The facility is located 1 miles from the interstate with access to a regional intermodal terminal. Projected levered IRR is 13.6% with an equity multiple of 1.4x over the hold period. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns.

Management Commentary

The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day. The facility is located 5 miles from the interstate with access to a regional intermodal terminal. Collections for the period were 90.3% of billed charges, with bad debt of 3.2% of gross potential income. In-place rents average $7 per square foot triple net with 3% annual escalations. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

The building offers 9' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members. In-place rents average $7 per square foot triple net with 3% annual escalations. The facility is located 4 miles from the interstate with access to a regional intermodal terminal.

Business Plan Progress

Distributions to investors for the quarter were paid at an annualized rate of 7.3% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. The building offers 25' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Distributions to investors for the quarter were paid at an annualized rate of 7.7% on contributed capital. The building offers 23' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. In-place rents average $7 per square foot triple net with 3% annual escalations. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Roof replacement - Bldg A	Life Safety	01/07/23	Q4 2027	$900,000	$679,697	Deferred
Pool resurfacing	Life Safety	12/11/26	Q1 2025	$228,000	$196,691	Approved
Door hardware	Interior	08/11/26	Q2 2026	$463,000	$348,040	Bidding
Amenity renovation	Building	02/06/23	Q1 2027	$523,000	$17,229	Approved
Exterior paint	Energy	12/02/23	Q1 2027	$198,000	$198,414	Approved
Parking lot resurfacing	Building	04/17/23	Q4 2027	$434,000	$33,282	Complete
HVAC replacement	Life Safety	06/17/23	Q4 2025	$382,000	$371,331	In progress
ADA compliance	Building	12/19/25	Q2 2025	$366,000	$322,259	In progress
Door hardware	Site	08/23/23	Q2 2027	$154,000	$33,230	Deferred
Fire alarm panel upgrade	Site	01/13/24	Q4 2026	$468,000	$164,641	Complete
Storefront glazing	Building	05/11/25	Q2 2026	$156,000	$139,545	Complete
Lobby renovation	Building	03/29/25	Q4 2025	$300,000	$209,411	In progress
ADA compliance	Building	12/16/25	Q3 2025	$357,000	$357,012	Bidding
Security camera upgrade	Interior	04/15/24	Q4 2027	$897,000	$227,616	Approved
Water heater replacement	Building	07/23/24	Q2 2025	$832,000	$275,902	Deferred
Storefront glazing	Interior	07/16/23	Q2 2025	$443,000	$147,807	Bidding
Unit interior upgrades	Life Safety	01/26/24	Q3 2027	$26,000	$9,216	Bidding
Fire alarm panel upgrade	Energy	11/23/23	Q3 2026	$880,000	$368,107	In progress
Door hardware	Building	10/23/24	Q4 2026	$496,000	$17,754	In progress
Elevator modernization	Energy	03/10/24	Q2 2025	$98,000	$85,996	In progress
Storefront glazing	Site	08/16/24	Q4 2026	$780,000	$604,975	In progress
Fence replacement	Energy	06/08/26	Q4 2025	$257,000	$60,819	In progress
Elevator modernization	Energy	08/28/24	Q2 2027	$788,000	$370,111	Bidding
Fire alarm panel upgrade	Life Safety	07/29/24	Q2 2025	$385,000	$357,163	Deferred
Roof replacement - Bldg A	Interior	02/04/23	Q4 2025	$644,000	$355,633	Deferred
Elevator modernization	Energy	01/22/24	Q4 2027	$32,000	$12,391	Deferred
Parking lot resurfacing	Life Safety	12/07/24	Q3 2027	$419,000	$433,256	Bidding
HVAC replacement	Site	04/17/23	Q1 2026	$370,000	$168,851	Complete
Sewer line repair	Life Safety	11/21/24	Q4 2027	$248,000	$73,232	In progress
LED lighting retrofit	Building	09/10/23	Q1 2026	$290,000	$73,533	In progress
Elevator modernization	Life Safety	01/07/24	Q4 2026	$580,000	$24,724	Bidding
Storefront glazing	Building	01/10/25	Q2 2026	$843,000	$409,057	In progress
Door hardware	Interior	12/08/23	Q1 2025	$241,000	$190,745	Deferred
Fence replacement	Site	02/25/25	Q4 2027	$211,000	$4,038	Approved
Lobby renovation	Interior	04/14/24	Q1 2026	$872,000	$315,845	In progress
Roof replacement - Bldg B	Interior	12/12/26	Q1 2025	$385,000	$313,558	Approved
Pool resurfacing	Site	05/03/25	Q2 2025	$776,000	$37,583	Approved
LED lighting retrofit	Energy	07/31/24	Q2 2025	$836,000	$580,574	Complete
Parking lot resurfacing	Building	11/14/25	Q2 2026	$828,000	$722,985	Bidding
Roof replacement - Bldg B	Interior	12/18/23	Q4 2025	$62,000	$15,634	In progress
Door hardware	Energy	06/19/25	Q2 2026	$717,000	$330,741	Complete

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Financial Analysis

The facility is located 4 miles from the interstate with access to a regional intermodal terminal. In-place rents average $7 per square foot triple net with 3% annual escalations. The going-in capitalization rate of 6.20% reflects the in-place income and the stabilized occupancy assumption. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.76x on a trailing basis against a covenant minimum of 1.20x.

The going-in capitalization rate of 7.58% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.41x on a trailing basis against a covenant minimum of 1.20x. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. In-place rents average $7 per square foot triple net with 3% annual escalations. The facility is located 7 miles from the interstate with access to a regional intermodal terminal.

Market Overview

Market vacancy for comparable Industrial product stands at 12.1%, down from 6.8% two years ago. The Kansas City Industrial market has experienced absorption of 3800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 1-mile radius of the property is approximately $215,000 and has grown 3.2% annually. Investor demand for Industrial assets in Kansas City remains strong with recent trades at capitalization rates between 6.03% and 6.03%. The building offers 20' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 5.1% annually over the past 9 years. In-place rents average $7 per square foot triple net with 3% annual escalations. The building offers 32' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Investor demand for Industrial assets in Kansas City remains strong with recent trades at capitalization rates between 6.19% and 6.19%.

Operating Performance

Operating expenses totaled $201,000 or approximately 22.81 per square foot, with real estate taxes representing the largest line item. The facility is located 2 miles from the interstate with access to a regional intermodal terminal. Management fees are calculated at 6.6% of collected revenue and are included in operating expenses. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

The building offers 28' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The going-in capitalization rate of 6.65% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $311,000, representing a 6.7% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Demographics and Employment

Rent growth in the submarket has averaged 5.7% annually over the past 5 years. Investor demand for Industrial assets in Kansas City remains strong with recent trades at capitalization rates between 6.18% and 6.18%. The building offers 13' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Median household income within a 8-mile radius of the property is approximately $411,000 and has grown 3.1% annually.

In-place rents average $7 per square foot triple net with 3% annual escalations. Employment growth is led by healthcare, logistics, education and professional services sectors. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Industrial product stands at 9.1%, down from 4.1% two years ago. Rent growth in the submarket has averaged 6.0% annually over the past 8 years.

Income and Expense Review

Debt service coverage ratio was 5.76x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building offers 24' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The facility is located 4 miles from the interstate with access to a regional intermodal terminal. Effective gross income for the trailing period was $224,000, representing a 12.8% increase over the prior year.

The going-in capitalization rate of 7.57% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $50,000 or approximately 7.89 per square foot, with real estate taxes representing the largest line item. The building offers 16' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The facility is located 3 miles from the interstate with access to a regional intermodal terminal.

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